

Paradiem 

The Morning Brief

JULY 3, 2026

Rotation Broadens

Weak June payrolls reportedly triggered a broad defensive rotation on Thursday; Dow proxy closed at a fresh high while the chip cohort extended its two-session decline into the Friday Independence Day closure.

S&P 500 (THU CLOSE)	DOW (THU CLOSE)	NASDAQ (THU CLOSE)	GOLD (GLD)	FEAR & GREED
\$744.78 · ↓0.13%	\$527.88 · ↑1.05% record	\$712.60 · ↓1.73%	\$378.13 · ↑2.03%	21 · Extreme Fear (Crypto; CNN fallback · live CNN reportedly ~34 Fear per public feed)

SECTION 01

Markets — Weak June Payrolls Reportedly Drove a Broad Defensive Rotation Into the Holiday Closure: XLV ↑2.63%, XLU ↑2.21%, XLP ↑2.03%, XLB ↑1.94%, XLF ↑1.53% Absorb the Bid as XLK ↓2.71% Extends the Chip Give-Back for a Second Session

THE PULLED-FORWARD JUNE EMPLOYMENT PRINT REPORTEDLY LANDED AT +57K VS THE REPORTED 115K DOW JONES CONSENSUS PER BLS/CNBC COVERAGE, WITH THE UNEMPLOYMENT RATE AT 4.2% AND REPORTED COMBINED DOWNWARD REVISIONS TO APRIL (−31K TO 148K) AND MAY (−43K TO 129K) TOTALING 74K PER THE BLS RELEASE — THE DOW PROXY CLOSED AT \$527.88 (↑1.05% PER THE DATA DROP) AT A REPORTED FRESH RECORD PER THESTREET/CNBC, WHILE THE S&P 500 PROXY CLOSED EFFECTIVELY FLAT AT \$744.78 (↓0.13%) AND THE NASDAQ PROXY AT \$712.60 (↓1.73%) AS THE CHIP COHORT REPORTEDLY EXTENDED WEDNESDAY'S GIVE-BACK INTO A SECOND SESSION

For FCI's framework, the Thursday session reportedly delivered the clearest rate-sensitive rotation of the summer, with defensives (XLV ↑2.63%, XLU ↑2.21%, XLP ↑2.03%) and rate-tolerant cyclicals (XLB ↑1.94%, XLF ↑1.53%) absorbing bid as the Tech sleeve (XLK ↓2.71%) reportedly extended the semiconductor unwind. Per Yahoo and CNBC coverage cited in the data drop, chip cohort losses reportedly accelerated on the second day with LRCX at \$351.41 (↓10.19%), MRVL at \$245.29 (↓9.84%), CRDO at \$241.91 (↓6.63%), KEYS at \$313.86 (↓6.48%), and AMD at \$517.82 (↓4.26%) per the data drop; per Yahoo/StockStory coverage cited in the search feed, Teradyne and KLA reportedly registered double-digit single-day declines (not FCI positions, cross-read only). TLT closed at \$85.51 (effectively flat per the data drop) as the long end reportedly held the Wednesday back-up while the front end reportedly repriced modestly on the weaker labor print. Bond markets reportedly closed at 2 PM ET Thursday per the SIFMA holiday schedule; equity and fixed-income markets are reportedly closed today (Friday July 3) for Independence Day observance and reportedly reopen Monday July 6.

S&P 500 (THU CLOSE)	\$744.78 · ↓0.13% · intraday H \$751.31 / L \$740.03
DOW (THU CLOSE)	\$527.88 · ↑1.05% · reported record per TheStreet/CNBC
NASDAQ (THU CLOSE)	\$712.60 · ↓1.73% · 2nd session chip give-back
SECTOR BID	XLV ↑2.63% · XLU ↑2.21% · XLP ↑2.03% · XLB ↑1.94% · XLF ↑1.53%
SECTOR SOLD	XLK ↓2.71% · XLY ↓0.82% · XLC ↓0.13%
FCI TOP 5 MOVERS	GPC ↑12.92% · ETHA ↑5.50% · LMT ↑4.62% · SYK ↑4.20% · COIN ↑3.92%
FCI BOTTOM 5 MOVERS	LRCX ↓10.19% · MRVL ↓9.84% · HUT ↓8.18% · MARA ↓7.25% · CRDO ↓6.63%
CARSON'S SPY SUPPORT	\$645.80 · active · well-removed from Thu intraday low \$740.03

THE THURSDAY TOP-DECILE FCI TAPE REPORTEDLY CONCENTRATED IN A CORPORATE-EVENT MOVE AT GPC (↑12.92% TO \$132.57 PER THE DATA DROP) ON A REPORTED O'REILLY CASH BID FOR THE ~\$10B AUTO UNIT PER THE YAHOO HEADLINE IN THE DATA DROP, WITH LMT (↑4.62% TO \$545.91) REPORTEDLY FIRING ON COVERAGE OF A REPORTED \$3.5B ULTRA MARITIME FRONTRUNNER STATUS — THE PRECIOUS-METALS COMPLEX REPORTEDLY REGISTERED THE LARGEST SINGLE-SESSION MOVE OF THE WEEK WITH

GLD ↑2.03% TO \$378.13 AND SLV ↑2.69% TO \$55.02, AND THE DIGITAL SLEEVE EXTENDED THE RECOVERY WITH IBIT AT \$34.87 (↑2.56%) AND ETHA AT \$12.86 (↑5.50%) PER THE DATA DROP

Per Yahoo coverage cited in the data drop headlines, the GPC move reportedly reflected a reported O'Reilly Automotive cash bid for GPC's auto unit valued at approximately \$10B, with ORLY (not an FCI position) reportedly declining approximately 5% on the same disclosure. For FCI's dividend sleeve, the LMT move to \$545.91 (↑4.62% per the data drop) reportedly aligned with Yahoo coverage of a reported \$3.5B Ultra Maritime deal frontrunner status, extending the defense-sleeve firming referenced in the prior brief series; GD closed at \$373.54 (↑2.94% per the data drop) reportedly following the same defense-bid pattern. Per Benzinga coverage cited in the data drop, ADP reportedly extended Wednesday's Financials rally to \$242.27 (↑2.77%) on the reported \$9.2B credit-line expansion, though the underlying labor-data print reportedly recasts the near-term rate-cut probability path. Per Yahoo coverage cited in the data drop, CAT closed at \$963.53 (↓2.81% per the data drop) reportedly extending the Wednesday reversal on the reported Michael Burry short referenced in the prior brief series. **Avoid Erosion.**

Thursday's tape reportedly compressed a five-day narrative into one session — weak labor data reset the rate path, defensives absorbed the flow, chips extended the give-back, and the digital sleeve reportedly held its early-July relief bid into the long weekend. Research Reveals Opportunities.

Geopolitics — Doha Talks Reportedly Paused as the Iranian Delegation Returned for the Khamenei Funeral (July 4–9); Precious Metals Registered the Session’s Largest Move as Rate-Path Reset and Geopolitical Overhang Reportedly Aligned

PER CNN, AXIOS, AL JAZEERA, AND RFERL COVERAGE OF THE DOHA ROUND, IRANIAN NEGOTIATORS REPORTEDLY DEPARTED DOHA AFTER THE SECOND DAY OF INDIRECT TECHNICAL TALKS AS TEHRAN PREPARES FOR THE MULTI-DAY FUNERAL OF FORMER SUPREME LEADER AYATOLLAH ALI KHAMENEI — CEREMONIES ARE REPORTEDLY SCHEDULED JULY 4 THROUGH JULY 9 PER CNN — WITH FURTHER DISCUSSIONS REPORTEDLY TO BE RESCHEDULED AT THE REPORTEDLY EARLIEST FEASIBLE DATE PER RFERL; PER AXIOS AND CNN COVERAGE, THE U.S. REPORTEDLY CONTINUES TO PRESS IRAN TO ABANDON HORMUZ TOLLS, WITH VP VANCE REPORTEDLY CHARACTERIZING THE ROUND AS PROGRESSING

For FCI’s framework, the Doha pause reportedly recasts the near-term catalyst window from a rolling-diplomacy tape into a five-day gap in which the mediator track is offline and the Hormuz toll question remains the reportedly hardest open item per Axios. Per the data drop, USO closed at \$103.98 (↑0.69%) and BNO at \$39.67 (↑0.66%) reportedly reflecting a modest bid off Wednesday’s three-session decline, with the Energy sleeve firming (XLE ↑0.78%) and FCI upstream showing CVX at \$169.20 (↑2.12%), OKE at \$87.83 (↑2.45%), and DVN at \$40.47 (↑0.55%) per the data drop; VLO closed at \$267.76 (↓0.62%) reportedly giving back part of the Wednesday crack-spread bid. The precious-metals move — GLD ↑2.03% to \$378.13 and SLV ↑2.69% to \$55.02 per the data drop — reportedly absorbed both the rate-path reset from the NFP miss and the residual geopolitical premium into the closure; AEM closed at \$153.86 (↓0.64%) reportedly diverging from GLD on a Benzinga headline flagging a reported July 1 rock-mass movement at the North Wall of the Barnat Open Pit with FY26 gold guidance reportedly at the lower end of the 3.3M–3.5M oz range per the data drop headline. **The physical world matters.**

THE DEFENSE-SLEEVE FIRING REPORTEDLY EXTENDED WEDNESDAY’S BID INTO THURSDAY WITH LMT AT \$545.91 (↑4.62% PER THE DATA DROP) ON REPORTED ULTRA MARITIME FRONTRUNNER COVERAGE PER YAHOO, AND GD AT \$373.54 (↑2.94%) — REPORTEDLY DIVERGING FROM THE CHIP-COHORT GIVE-BACK AS THE ROTATION COMPOSITION REPORTEDLY FAVORED RATE-TOLERANT AND BACKLOG-VISIBLE NAMES INTO A FIVE-SESSION DIPLOMATIC GAP

For FCI’s defense sleeve, the LMT move reportedly captured the reported \$3.5B Ultra Maritime deal frontrunner status per Yahoo coverage cited in the data drop, extending the Citigroup upgrade referenced in the prior brief series; the two-name pattern (LMT ↑4.62%, GD ↑2.94% per the data drop) reportedly diverged cleanly from the industrials-cyclical composition (CAT ↓2.81% to \$963.53, PCAR ↓1.44% to \$119.50 per the data drop). For the digital sleeve, the Thursday extension in COIN (\$165.48 ↑3.92%), HOOD (\$112.73 ↑3.76%), IBIT (\$34.87 ↑2.56%), and ETHA (\$12.86 ↑5.50% per the data drop) reportedly aligned with a second-day early-July relief bid, though the mining composition reportedly diverged with HUT at \$97.14 (↓8.18%) and MARA at \$12.40 (↓7.25%) reportedly reflecting continued

cost-sensitivity into the ETF-flow window; per Benzinga coverage cited in the prior brief series, June spot Bitcoin ETFs reportedly logged their reported worst monthly outflow at approximately \$4.5B, a baseline against which the two-session recovery reportedly reads as relief rather than a directional turn. **Simplicity Over Complexity.**

DOHA TALKS **Reportedly paused · Iran delegation returned for Khamenei funeral July 4–9 per CNN**

HORMUZ TOLL DISPUTE **Reportedly the hardest open question per Axios · U.S. reportedly pressing Iran to abandon tolls**

WTI / BRENT (THU) **USO \$103.98 ↑0.69% · BNO \$39.67 ↑0.66% · modest bid off three-session low**

GOLD · SILVER (THU) **GLD \$378.13 ↑2.03% · SLV \$55.02 ↑2.69% · largest session move of the week**

LMT · GD (THU) **\$545.91 ↑4.62% · \$373.54 ↑2.94% · sleeve firmed on Ultra Maritime coverage**

DIGITAL ETFS (THU) **IBIT \$34.87 ↑2.56% · ETHA \$12.86 ↑5.50% · second-day recovery**

On Our Radar

1. June Nonfarm Payrolls Reportedly Landed at +57K vs Reported 115K Dow Jones Consensus per BLS/CNBC —

Unemployment at 4.2%, April and May Reportedly Revised Down by a Combined 74K per the BLS Release, With Rate-Path Repricing Now the Dominant Cross-Asset Signal Into Monday's Reopen.

Per the BLS Employment Situation release for June 2026 cited via CNBC and Yahoo, June nonfarm payrolls reportedly rose 57,000 — the reportedly lowest gain in four months per Trading Economics — against a reported 115K Dow Jones consensus. Per BLS, the unemployment rate reportedly held at 4.2%; per the release, April was reportedly revised down by 31K to 148K and May by 43K to 129K for a combined 74K revision. The Thursday defensives bid (XLV ↑2.63%, XLU ↑2.21%, XLP ↑2.03% per the data drop) reportedly reflected the post-print rate-path reset; per Fortune coverage cited in the search feed, the reported hawkish Warsh framing referenced in the prior brief series reportedly faces a materially different labor backdrop into the late-July FOMC than the June-meeting dot plot assumed. *Research Reveals Opportunities.*

2. GPC ↑12.92% on Reported O'Reilly ~\$10B Cash Bid for Auto Unit per Yahoo — Corporate-Action Event Reportedly Reshapes the FCI Dividend Sleeve's Idiosyncratic Composition Ahead of the Q2 Earnings Kickoff.

Per Yahoo coverage cited in the data drop headlines, GPC closed at \$132.57 (↑12.92% per the data drop) on a reported O'Reilly Automotive cash bid for GPC's auto unit reportedly valued at approximately \$10B; ORLY (not an FCI position) reportedly declined approximately 5% on the same disclosure per the Yahoo headline. Per the same coverage, the reported first-half M&A cadence has reached a reported record per Yahoo — the corporate-action composition reportedly warrants monitoring across the dividend sleeve into next week's Q2 kickoff. For the investment committee, the reported deal structure reportedly bears review against the deconsolidation-risk framing flagged in the prior brief series via SeekingAlpha. **Think Like an Owner.**

3. LMT ↑4.62% on Reported \$3.5B Ultra Maritime Frontrunner Status per Yahoo — Defense-Sleeve Bid Reportedly Extends Wednesday's Firming as Chip-Cohort Rotation Reportedly Diverges Cleanly From Backlog-Visible Names.

Per Yahoo coverage cited in the data drop, LMT closed at \$545.91 (↑4.62% per the data drop) reportedly on emerging as the reported frontrunner for a reported ~\$3.5B Ultra Maritime deal, extending the Citigroup upgrade referenced in the prior brief series. GD reportedly firmed alongside at \$373.54 (↑2.94% per the data drop). For FCI's defense sleeve, the two-session pattern (LMT ↑2.43% Wed, ↑4.62% Thu; GD ↑2.43% Wed, ↑2.94% Thu per the data drop and prior brief) reportedly aligns with the multi-year procurement pipeline referenced across the brief series. *Avoid Erosion.*

4. Chip Cohort Reportedly Extended Wednesday's Give-Back Into a Second Session: LRCX ↓10.19%, MRVL ↓9.84%, CRDO ↓6.63%, KEYS ↓6.48%, AMD ↓4.26% per the Data Drop — Reported Double-Digit Declines at Teradyne and KLA per Yahoo/StockStory Cross-Read Signal Broadens the Unwind Beyond FCI Positions.

Per Yahoo coverage cited in the data drop headlines, the semiconductor complex reportedly registered a second-day acceleration with FCI-name losses in the double-digits for LRCX and MRVL and single-digit but material declines across CRDO, KEYS, AMD, TSM, and NXPI. TSM closed at \$434.16 (↓2.27%), NXPI at \$273.36 (↓2.08%), and NVDA at \$194.83 (↓1.39% per the data drop). For the investment committee, the two-session unwind reportedly warrants distinguishing between the AI-infrastructure names and the memory/testing composition, given the reported double-digit declines at Teradyne and KLA flagged in the coverage. The pending Q2 earnings season is reportedly the next hard-data reset for the sleeve.

5. Week Ahead — Markets Reportedly Reopen Monday July 6 Into a Q2 Earnings Kickoff Window; Doha Talks Reportedly Rescheduled Post-Funeral (July 4–9), FOMC Reportedly End-July; Precious-Metals Bid, Digital Sleeve Recovery, and Defense-Sleeve Firming Are the Three Cross-Asset Threads to Carry Into Next Week.

Per the NYSE and SIFMA calendars cited via Fidelity/AARP coverage, U.S. equity and bond markets are reportedly closed today (Friday July 3) and reportedly reopen Monday July 6 at 9:30 AM ET. Per CNN coverage, the Iranian delegation reportedly returns to Doha at the “earliest possible time” after the Khamenei funeral (July 4–9); per the FOMC calendar, the next policy meeting is reportedly at end-July. Carson's SPY support at \$645.80 remains active, well-removed from the Thursday intraday low \$740.03 per the data drop. For FCI's framework, the three-thread structure — precious-metals bid (GLD ↑2.03%, SLV ↑2.69%), digital sleeve recovery (IBIT ↑2.56%, ETHA ↑5.50%), defense firming (LMT ↑4.62%, GD ↑2.94%) per the data drop — reportedly reads as a rate-sensitive rotation into the reopen rather than a de-risking. **Simplicity Over Complexity.**

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